

The 6:15

THURSDAY · AUGUST 13, 2026

NO. 4

THE BOARD

CALENDAR (NEXT 10 DAYS)

Thu 8/13	July PPI (BLS, 8:30a ET, cons. +0.2% MoM); initial jobless claims (cons. 202K vs. 199K prior); 30-yr Treasury bond auction, \$25B, 1p ET, settles Mon 8/17; Applied Materials (AMAT) earnings AMC — cons. EPS \$3.36-3.39, rev ~\$9.0-9.04B
Fri 8/14	July retail sales (Census, cons. +0.3% MoM, ex-auto +0.2%); UMich consumer sentiment prelim (cons. 54.1 vs. 55.2 prior; 1-yr inflation exp. flat at 4.2%)
Mon 8/17	13-wk/26-wk T-bill auctions
Tue 8/18	Alaska, Florida primaries; Home Depot (HD) earnings BMO — cons. EPS \$4.71
~8/20-21	Walmart (WMT) earnings BMO — cons. EPS ~\$0.72-0.74, rev \$174B-\$187B (date/estimate not reconciled — sources split Wed 8/20 vs. Thu 8/21)
Tue 9/16	Next FOMC decision
OPEC+	No ministerial meeting inside this window; 68th JMMC not until 10/4

Rocket launches, frontier AI releases, and VC rounds: nothing verified inside the prior 24-48h this run (most recent Starship flight ~3 weeks old; last AI-model releases and the Firmus Grid \$2B raise are 3-7 days stale) — omitted rather than padded, per policy.

METRICS · ~6:00A ET THU 8/13 UNLESS NOTED

Brent (ICE front)	\$87.92, -1.19% (TradingEconomics, ~6a ET); Wed settle \$88.98 (Investing.com)
WTI (NYMEX front)	\$82.11, -1.39% (TradingEconomics); Wed settle \$83.27
Brent-WTI spread	\$5.81
UST 2Y/10Y/30Y	4.18% / 4.68% / 5.24% (TradingEconomics, AM)
DX1	99.84, ~flat (-0.02%)

S&P / Nasdaq-100 futures	+0.2% (7,766.75) / +0.6% (premarket)
VIX	15.28 (Wed 8/12 cash close; Thu premarket print not available)
Gold (spot)	\$4,390.06, as of 5:16a ET (JM Bullion feed)
Nikkei 225	+1.1% to above 68,000 (Thu close, TradingEconomics — exact print not confirmed)
Hang Seng	-0.25% Thu close (headline-level only); intraday 25,418, -0.09% at 2:16a ET (exact closing level not confirmed this run)
Europe (Wed 8/12 close)	DAX 26,331, -0.23%; FTSE 100 10,821, -0.22% (one source: 10,833.15, -0.1% — minor divergence) ; CAC 40 8,674.94, -0.46%
Retail gas, natl. avg. (AAA)	\$4.0360/gal (as of 8/12)

S&P 500 closed Wed 8/12 at 7,748.50 (+0.26%); Nasdaq Composite 26,588.49 (+0.54%).
Crude, rates, and futures above are pre-market reads, not settles.

HORMUZ COUNTERS

Closure	Day 165 (straits.live, as of 10:27 UTC 8/13)
Transits (daily)	1 vessel on 8/9, 1% of 73/day baseline (straits.live); separately, IMF PortWatch's own count: 8 vessels on 8/8, 11% of baseline — different vendor/day, don't reconcile
Transits (weekly)	78 total, wk of 8/3-8/9, down 18% from 95 prior week; non-Iran-linked 45, down from 63 (Lloyd's List)
Enforcement (CENTCOM)	55 vessels redirected, 3 disabled, 2 boarded since program start; latest — MH-60 Hellfire strike disabled Vela Nova's steering gear, 8/11 (see Iran & Hormuz)
Strikes on shipping (Iran-attrib.)	Not updated this run (last confirmed: 2 ships struck + 1 attempt since 8/1, Lloyd's List)
Dark tankers	86 AIS-dark in last 24h, vs. 27.1 7-day avg (straits.live) — up from 36 in the last issue
Holding off-berth	349 vessels (straits.live), up from 238
War-risk premium	30.0x pre-crisis; ~\$10.0M per VLCC passage — unchanged (straits.live)

Lloyd's List counts weekly commercial transits >10,000 dwt with Iran-link attribution; IMF PortWatch counts AIS-broadcasting daily crossings with a multi-day lag; straits.live blends its

own daily AIS read with broker war-risk quotes and dark-ship detection. Three different universes on different cadences — figures don't average or net against each other.

TRANSACTIONS

Yankees	No transactions; two straight wins (see Sports)
Knicks	No reported roster moves in the last 24 hours
Northwestern	No reported roster moves in the last 24 hours

LEAD

INFLATION & THE FED

July CPI cools in line, hike odds slide toward 40% — but oil's overnight reversal complicates the read, and PPI is today's real test

July's Consumer Price Index rose 3.4% year-over-year (+0.1% month-over-month), with core CPI — ex-food-and-energy — at 2.5% YoY (+0.2% MoM), both a tenth of a point below June and squarely on the Dow Jones consensus survey, per Wednesday's BLS release. Shelter did most of the monthly work (roughly two-thirds of the increase, +0.1%), food added another 0.1%, and energy fell 1.5% on the month even though it's still running 14.7% higher year-over-year — gasoline alone is up 24.6% YoY, the line item that ties this report directly to the Hormuz-driven crude rally of the past two weeks. [fact: BLS, CNBC]

Markets read the in-line print as room for the Fed to sit still. CME FedWatch-implied odds of a September hike eased to roughly 40% (60% no-change) as of Wednesday evening, continuing a slide from 67% in late July through 44.4% a week ago — a trajectory that started with July's shock -23,000 payrolls print and continued through Wednesday's data, even as bond traders notably haven't abandoned the hike bet altogether. [Bloomberg] The 10-year eased to 4.68%, the 30-year to 5.24%, the 2-year to 4.18%; the S&P 500

added 0.26% to 7,748.50 and the Nasdaq Composite 0.54% to 26,588.49, both extending into this morning's futures (S&P +0.2%, Nasdaq-100 +0.6%).

Fed Chair Kevin Warsh — who delivered a hawkish shock at his first meeting, with nine of 18 participants penciling in a 2026 hike — is reportedly still open to raising in September if incoming data runs hot. **[single-sourced: FT, via CNBC, citing people familiar with his thinking]** That's precisely the test today's July PPI (8:30a ET, consensus +0.2% MoM) and jobless claims (consensus 202K vs. 199K prior) set up before the open. [read] PPI matters more than usual this cycle because it's the more direct transmission channel for oil-driven cost-push pressure into core goods — a hot print reopens the hike debate; a soft one pushes September toward a clean hold and likely pressures the dollar further (DXY 99.84, roughly flat overnight).

Crude, meanwhile, is telling a different story than it was 48 hours ago. Brent fell 1.19% to \$87.92 and WTI 1.39% to \$82.11 overnight (TradingEconomics, ~6a ET) — a sharp reversal of Tuesday's +2.5%/+2.7% spike — even though the underlying Hormuz standoff hasn't budged: Iran restated Wednesday that the strait stays closed until its conditions are met, directly contradicting President Trump's "100% control"/"wall of steel" claims from earlier in the week. [fact] The likelier explanation isn't de-escalation — it's profit-taking after a three-plus-day run, compounded by Tuesday's first confirmed U.S. Navy kinetic strike on a blockade-running vessel (see Iran & Hormuz), which reads as harder enforcement rather than any softening of the standoff. [read]

Net effect for the desk: a rate-path narrative that's been steadily de-risking (67% → 44% → ~40% hike odds) is now the dominant driver

of the tape, with Hormuz behaving like a slow-moving tail risk rather than the day's price-setter — the reverse of Tuesday's dynamic, when oil did the driving. That makes this morning's PPI more consequential than a typical mid-tier release: it's the next data point that could either confirm the market's dovish-leaning read of Warsh's Fed, or force a repricing back toward the 60%+ hike odds of two weeks ago — and it lands before most of this issue's readers are off the subway. [read] Watch the reaction in the front end specifically: a hot PPI that moves the 2-year more than the 30-year would confirm markets are repricing Warsh's reaction function; a move concentrated in the long end instead would say it's still an energy-pass-through story, not a Fed one.

POLITICS

Alaska and Florida hold primaries Tuesday, Aug. 18 — the only election dates inside the next 10 days. [NEW] Both feature open governor's races: Alaska's Mike Dunleavy is term-limited, drawing a crowded top-four-advances field led on the Republican side by former Attorney General Treg Taylor and former Anchorage Mayor Dave Bronson (rated Lean Republican); Florida's Ron DeSantis is likewise term-limited, and Gov. DeSantis has already installed Attorney General Ashley Moody in the state's Senate special election to fill the Rubio seat, a race also on Tuesday's ballot. Neither race is a near-term market catalyst, but both settle the fields for November's midterm-cycle marquee contests.

The House still hasn't voted on the bipartisan stopgap funding bill the Senate passed before members left for a five-week recess; both chambers are now out until mid-September, so the shutdown risk flagged in the last issue is on hold rather than resolved, and there's

no floor vote in the interim that could move markets on short notice. Separately, the Trump administration barred federal Medicaid funding for gender-transition medication and surgery for transgender adolescents Wednesday — a notable executive action with no direct market read-through. [NEW] Nothing further on the Blanche confirmation or recess mechanics covered in the last issue; both are unchanged and dropped here.

ECONOMICS

July CPI resolves the "swing data point" flagged in the last issue: 3.4% headline, 2.5% core, both in line with consensus and a tenth of a point below June (see Lead for detail and market reaction). [NEW] That shifts the week's remaining risk to today's data: July PPI (8:30a ET, consensus +0.2% MoM) and initial jobless claims (consensus 202K vs. 199K prior week), both landing before the open. Retail sales and the University of Michigan's preliminary August sentiment read follow Friday — retail sales are expected +0.3% MoM (+0.2% ex-auto), while UMich sentiment is seen slipping to 54.1 from 55.2 even as one-year inflation expectations hold flat at 4.2%, a split that would suggest households are more worried about their own finances than about prices broadly. [DEVELOPING]

The curve continues to tell a two-speed story. 2s10s sits at 50bp (10-year 4.68% less 2-year 4.18%), little changed, while the 30-year at 5.24% still carries the most term premium — consistent with the front end tracking meeting-by-meeting Fed odds while the long end prices sustained inflation risk from energy more directly. [read] Today's 30-year bond auction (\$25B, 1p ET, settling Monday) is the week's direct test of that term-premium pricing: a weak bid-to-cover would corroborate the long-end inflation-risk read; a strong one

would suggest investors are betting the Fed's easing bias, not oil, ultimately wins out. Thirteen- and 26-week T-bill auctions follow Monday. **[correction: the last issue misdated this bond auction to Mon 8/17 — it settles Monday but the auction itself is today, Thu 8/13]**

Underneath today's headline claims number, continuing claims — a better read on how long the already-unemployed stay that way — rose to 1,801,000 for the week ended July 25, up 24,000 from a revised 1,777,000 the week before. [fact] Read: initial claims staying under 200K says layoffs remain low, but continuing claims drifting higher says re-hiring has slowed — consistent with a labor market that's cooling through reduced hiring rather than through a wave of new job losses, the same pattern implied by July's outright payrolls contraction. That distinction matters for how the Fed weighs today's PPI: a labor market that's softening on the hiring side, not the layoffs side, is arguably more supportive of a hold than a hike even if PPI runs a touch hot. It also complicates Friday's retail sales read — a labor market where fewer people are losing jobs but fewer are finding new ones is exactly the environment where consumer spending can look fine in the aggregate while masking growing dispersion between households.

BUSINESS

CoreWeave beat Tuesday's print: Q2 revenue of \$2.58B (versus \$2.56B consensus, more than double the year-ago quarter) and a backlog above \$104B, with an adjusted per-share loss of \$1.14 against a \$1.41 consensus loss. Adjusted EBITDA reached \$1.5B on a 59% margin, though GAAP net losses widened to \$626M from \$290M a year earlier on surging interest costs. [NEW] Shares

jumped roughly 13% after-hours to \$102.21. Read: the backlog and margin numbers say demand and operating leverage are both real; the widening GAAP loss says the debt load financing that capacity buildout is real too — exactly the tension Nvidia's new financing platform (below) is designed to ease.

Cisco's fiscal Q4 also beat on both lines — GAAP EPS \$0.97 versus an \$0.87 estimate, non-GAAP EPS \$1.22 versus \$1.06, revenue \$17.3B, product orders up 35% YoY, and AI orders reaching \$9.3B for the fiscal year (versus roughly \$4B a year prior). [NEW] Despite the beat, the stock reportedly failed to impress investors, and Nasdaq-100 futures slipped in early Asian trading following the print. Read: a beat-but-sell reaction on genuinely record numbers is a valuation story, not a fundamentals one — the bar for AI-infrastructure-adjacent names is now priced for perfection, not just growth, a dynamic likely to shape tonight's Applied Materials reaction too.

Nvidia's \$500B AI-infrastructure financing platform — MOUs with Apollo, Blackstone, BlackRock, Brookfield, Goldman Sachs and KKR, first reported Monday — is now confirmed via Nvidia's own newsroom release: each firm will independently underwrite and originate capital at what Nvidia calls attractive rates, for beneficiaries spanning frontier labs, enterprises and cloud providers. [DEVELOPING] CEO Jensen Huang told CNBC he approached only those six firms and none turned him down. Individual firm commitments, a deployment timetable, and — per Monday's reporting — the rating-agency treatment of this debt all remain undisclosed; watch for actual term sheets, not just the MOU headline.

Applied Materials reports after today's close — consensus EPS \$3.36-3.39 on revenue of roughly \$9.0-9.04B, with the company's own guidance (\$8.95B $\pm$ \$500M revenue, \$3.36 $\pm$ \$0.20 EPS) already bracketing the Street. Home Depot (Tue 8/18, consensus EPS \$4.71) and Walmart (consensus EPS roughly \$0.72-0.74 on \$174-187B revenue) round out the next 10 days' retail read on the consumer, arriving the same week as July retail sales — together the closest thing to a real-time read on whether elevated gas prices are showing up in discretionary spend.

Elsewhere, Wendy's jumped as much as 15% Wednesday — briefly halted for volatility — after the Financial Times reported that Nelson Peltz's Trian Fund Management, already the chain's largest shareholder at a 16% stake, is preparing a take-private bid alongside BlueFive Capital and franchisee Flynn Group. [NEW] **[single-sourced: FT]** No terms have been disclosed; Wendy's said only that it would review any proposal in line with its fiduciary duties. Read: it's a different capital-allocation story than the AI-infrastructure financing dominating the rest of this section — activist-to-buyout playbooks extending into a depressed-multiple consumer name — but it's a reminder that not all of this week's capital-markets activity is AI-driven.

TECHNOLOGY

Nvidia's Wall Street financing platform (see Business) is this week's biggest AI-infrastructure story — a structural attempt to move financing risk for GPU buildouts off hyperscaler balance sheets and onto asset managers' books, extending the debt-financed-capex trend flagged in prior issues (Alphabet's bond deal, the roughly \$194B in hyperscaler investment-grade issuance through July).

[DEVELOPING] The open question the MOU doesn't answer: whether asset managers ultimately price this as long-duration, contract-backed infrastructure debt or as tech-cycle risk — that distinction sets the effective rate hyperscalers pay for the next leg of AI capex.

Separately, the frontier-model release cadence keeps compressing rather than clustering around discrete "big" launches: OpenAI's GPT-5.6-Cyber and Meta's Muse Glimmer both shipped Aug. 10, both iterative rather than capability step-changes. [NEW] Read: with releases now arriving closer to a continuous software-update cycle than to periodic flagship launches, the more useful signal for investors is probably capex and compute-financing news — like Nvidia's platform — rather than any single model release.

Applied Materials' report tonight is the more direct read on whether the capex cycle is showing up in equipment demand rather than just financing headlines: the company's own guidance already implies roughly 23% YoY revenue growth at the midpoint, and options markets have been pricing an above-average post-earnings move given how sensitive semicap names have become to any hint that hyperscaler orders are decelerating. [DEVELOPING] Between Cisco's beat-but-sell reaction, CoreWeave's backlog-versus-losses tension, and Nvidia's financing platform, this week's pattern across AI-infrastructure names is consistent: the demand signal keeps beating estimates, but investors are increasingly discounting it unless it comes with cleaner evidence on financing cost and margin durability, not just growth.

GEOPOLITICS

Washington and Beijing are expected to hold a summit in Washington on Sept. 24, with tariffs and Taiwan on the agenda — the first confirmation of a firm date since the earlier Trump-Xi meeting this year. **[single-sourced this run]** It falls outside this issue's 10-day calendar window but is the next major China-policy date on investors' radar; expect trade-and-tariff headline risk to build through September, in the same stretch as the FOMC meeting the week before.

The Saudi-Pakistan-Turkey defense pact signed Aug. 7 in Mecca is drawing expansion interest: Turkish Foreign Minister Hakan Fidan said publicly this week the three countries "should grow" the pact to include other members, without naming candidates. [NEW] Combined, the three signatories field roughly 1.4 million active personnel and \$124.4B in annual defense spending (Global Firepower Index) — a bloc explicitly framed as a response to "aggressive military posturing" in the region, i.e., Iran and Israel, though none of the three is a direct party to the Hormuz standoff itself.

Away from the Middle East, the Ukraine war ground on without a major inflection but with two data points worth flagging: Ukrainian military intelligence said a North Korean missile unit has begun deploying to Russia's Voronezh region, and Russia's wheat exports fell 17.7% YoY in July to 1.8M metric tons. [NEW] **[single-sourced: Ukrainian military intelligence, on the troop movement]** Neither has moved grain or energy futures enough to register on this issue's Board, but the export decline is worth watching given global wheat markets' sensitivity to Black Sea supply

— a slower-moving commodity story running in parallel to the Hormuz oil story.

IRAN & HORMUZ

Blockade enforcement crossed a line Tuesday: a U.S. Navy MH-60 helicopter fired two Hellfire missiles into the engine-room area of the Panama-flagged cargo ship Vela Nova, disabling its steering gear after its crew ignored repeated warnings while attempting to run the U.S. blockade toward an Iranian port, per U.S. Central Command. [NEW] No casualties were reported. It's the first confirmed instance of the U.S. using an airborne kinetic strike — rather than boarding or escorting a vessel away — to enforce the blockade; CENTCOM's cumulative enforcement tally now stands at 55 vessels redirected, 3 disabled, 2 boarded since the program began. [fact] Read: this is a meaningful escalation in U.S. enforcement posture even as the political standoff over "who controls the strait" (see Lead) stays deadlocked — enforcement capability and political messaging are moving on separate tracks.

The transit and dark-fleet data moved further apart, not together. Lloyd's List counted 78 transits in the week of Aug. 3-9, down 18% from 95 the prior week, with non-Iran-linked traffic falling to 45 from 63. Straits.live's own daily snapshot shows just 1 vessel transiting on Aug. 9 (1% of the 73/day pre-crisis baseline) — a different measure from IMF PortWatch's official multi-day-lag count of 8 vessels on Aug. 8 (11% of baseline); the two trackers use different methodologies and shouldn't be netted against each other. Meanwhile dark-tanker activity spiked to 86 AIS-dark vessels in the past 24 hours, well above the 27.1 seven-day average and more than

double the 36 logged in the last issue, and 349 vessels are now holding position off-berth, up from 238. [NEW]

War-risk pricing hasn't moved despite the enforcement escalation: insurance still runs at 30.0x pre-crisis rates, roughly \$10.0M to insure one VLCC passage, unchanged from the last issue (straits.live). [DEVELOPING] Prediction markets remain skeptical of a near-term resolution: Polymarket prices a return to a 60-vessel-per-day transit average (the market's definition of "normal") by Aug. 15 at effectively 0%, while Kalshi prices full normalization before Sept. 1 at just 8 cents on the dollar and before Jan. 1, 2027 at 45 cents (Polymarket/Kalshi, as of Aug. 12). [NEW — supersedes prior issue's straits.live-only reopening odds] See the Board for the full methodology note on why Lloyd's List, PortWatch, and straits.live figures don't reconcile with one another.

The cumulative economic toll is becoming clearer even as daily figures stay noisy. Lloyd's List estimates \$1.5B-\$2B in marine-insurance claims from roughly 70 casualties since the closure began in late February, alongside 1.8M-2M TEU of lost global container volume in the first half of 2026 and regional trade contraction — Gulf imports down 21%, exports down 31%. [fact, Lloyd's List] Read: those are backward-looking, slower-to-update numbers than the daily transit counts, but they're the figures that matter for anyone pricing multi-quarter Gulf-exposed freight, insurance, or trade-finance risk rather than trading the daily headline — a reminder that the war-risk premium (30.0x) is compensating underwriters for realized losses, not just tail-risk optionality.

SPORTS

Yankees	Beat Mariners 10-5 (Wed 8/12), second straight win after beating Seattle 4-1 Tue 8/11; record not independently reconfirmed past 64-51, 3rd AL East (as of 8/9)
Knicks	Off-season, no game
Northwestern	Off-season, no game. Opener 9/5 vs. South Dakota State

Continuity. Corrected again: the 30-year Treasury bond auction is today, Thu 8/13 (1p ET, \$25B, settling Mon 8/17) — the prior issue's "Mon 8/17" auction date was itself wrong, not just mislabeled. Dropped as unchanged since 8/11: Khamenei command-reshuffle roster, Oman-Iran shipping-lane deal mechanics, Warsh confirmation backstory, war-powers vote details, Jazan refinery strike (still unconfirmed independently, no update this run), Joint Chiefs off-ramp comment (single-sourced, no follow-up found). For tomorrow: drop CPI mechanics (now historical) once PPI supersedes it; drop CoreWeave/Cisco specifics once AMAT reports; drop the Vela Nova strike narrative unless there's a further incident; the Iran & Hormuz counters should be substantially refreshed by tomorrow's data regardless.

Unverified figures are marked in red. Nothing was estimated or filled from memory; where sources diverged or a print hadn't landed, that is stated explicitly in the text above.